

TABLE III
PRODUCTION COST PER ANNUM

Description	Value (₹)
Total recurrent expenditure	6,897,000
Depreciation on machinery and equipment @ 10 per cent	35,900
Depreciation on tools, jigs and fixtures @ 25 per cent	5000
Depreciation on office equipment and furniture @ 20 per cent	4000
Interest on total capital investment @ 13 per cent	240,259
Total	7,182,159

TABLE IV
TURNOVER PER ANNUM

Item	Quantity	Unit price	Total value (₹)
LED lamp	50,000	175	8,750,000

Disclaimer

- The project profile may change for individual entrepreneurship qualities/capacity, production programme and also location characteristics, wherever applicable.
- On an average, the margin money recommended is 25 per cent of the working capital requirement. However, the percentage of margin money may vary at the bank's discretion.

LED light manufacturing business registration

The entrepreneur needs to obtain following registrations and licences from government authorities:

- Company registration with ROC
- Trade licence from municipal authority
- Udyog Aadhaar MSME registration
- BIS certification
- Bureau of Energy Efficiency certification
- NOC from Pollution Control Board
- GST registration

However, specific licence and registration requirements will depend on the manufacturing process and the type of LED light that is being produced.

Business economics

Under Modified Special Incentive Package Scheme (M-SIPS), the Indian

government provides a special incentive package to promote large-scale manufacturing in the electronic system design and manufacturing (ESDM) sector. This scheme was amended on August 3, 2015. Salient amendments to the scheme include:

- The term of the scheme has been extended up to 27-07-2020.
- The scope of the scheme has been extended to cover additional verticals.
- The procedure for grant of approval has been simplified and streamlined.

Incentives are now available for investments made in a project within a period of 10 years from the date of application.

Land and building.

Buildup area: 280sq.m (3000sq.ft) office
Store: 93sq.m (1000sq.ft)
Assembly and testing: 185sq.m (2000sq.ft)
Rent payable per month: Rs 10,000

Financial analysis

Profit per annum (before taxes) = Turnover per annum - Production cost per annum = ₹ 1,567,841

Net profit ratio = (Profit per annum) × 100 / (Sales per annum)

Rate of return = (Profit per annum) × 100 / (Total capital investment)

Break-even point.

Break-even point = (Fixed cost) × 100 / (Fixed cost + Profit) **EPT**

References

- <http://muvs.in/led-light-manufacturing-small-scale/>
- <http://mefy.gov.in/esdm/incentive-schemes>
- [http://www.dcmsme.gov.in/reports/electronic/Project per cent20profile per cent20on per cent20LED per cent20based per cent20Lighting per cent20System.pdf](http://www.dcmsme.gov.in/reports/electronic/Project%20per%20profile%20on%20per%20LED%20based%20per%20Lighting%20System.pdf)



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